RBRK

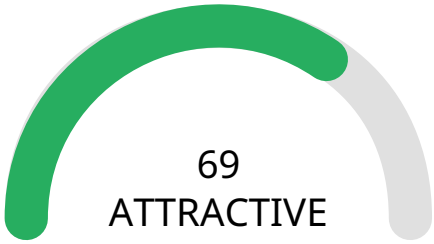
Rubrik, Inc. (NYSE)

As-of: 17-Oct-2026 | Latest Filing: Q2 FY27 (10-Q) | Currency: USD

$112.41 [Mkt 17-Oct-26]

Market Cap: $23.6B [Mkt 17-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 74

81% non-GAAP gross margins with net-cash balance sheet ($1.75B cash vs $1.13B converts). NRR above 119% shows real expansion. Offset: still GAAP unprofitable with negative equity and heavy stock-based comp.

2. Recent Trend — 82

ARR compounding at 33-34% for three straight years. Normalized revenue growth accelerated to 43% in Q2 FY27. FCF swung from $33M to $253M in one year and contribution margin jumped 9.4% to 14.0%. Textbook inflection.

3. Forward Growth — 76

FY27 guide: 28% revenue and 29% ARR growth with positive non-GAAP EPS. Identity and Agent Cloud are credible new legs. Discount: cloud migration tailwind is wrapping up and material-rights headwinds drag reported growth.

4. Valuation — 52

DCF base $105.25 sits 6.4% below the $112.41 price, and the reverse DCF implies a demanding 36% CAGR. The offset: at ~14.5x sales on ~46% growth, it is the cheapest growth-adjusted multiple in the AI-cyber peer set.

5. Catalysts & Risk — 62

Q3 print in December and Identity/ Agent Cloud scaling are near-term positives. Risks: sell-the-news after beats, 27% share-count inflation from SBC, and the migration comp gets harder. Slight positive skew.

Investment Thesis

- **Cyber Resilience Platform:** Data protection repositioned as cyber recovery. $1.66B subscription ARR (+33%) with cloud ARR at 89% of the base and NRR above 119% [10-Q Q2 FY27].
- **Profitability Inflection:** FCF went from $33M in FY25 to $253M in FY26, and FY27 guides $323-333M with positive non-GAAP EPS of $0.47-0.53 [8-K FY26][8-K guid]. Rule of 40 is in sight.
- **Fair Price, Not Cheap:** At $112.41 [Mkt 17-Oct-26], the DCF base of $105.25 implies -6.4% downside and the market prices in 36% CAGR. It is the cheapest growth-adjusted name in AI-cyber, but not a bargain.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Subscription ARR (Q2 FY27)	$1.66B [10-Q Q2 FY27]	+33% [10-Q Q2 FY27]	Up
Revenue (Q2 FY27)	$427.3M [10-Q Q2 FY27]	+38% (+43% normalized) [10-Q Q2 FY27]	Up
Net Retention Rate	>119% [10-Q Q2 FY27]	vs >120% prior year [10-Q Q2 FY27]	Flat
Customers $100K+ ARR	3,084 [10-Q Q2 FY27]	+23% [10-Q Q2 FY27]	Up
ARR Contribution Margin (TTM)	14.0% [10-Q Q2 FY27]	+4.6 pts (from 9.4%) [10-Q Q2 FY27]	Up
Free Cash Flow (Q2 FY27)	$65.7M [10-Q Q2 FY27]	vs $57.5M prior year [10-Q Q2 FY27]	Up
FY2027 Revenue Guide	$1.685-1.693B [8-K guid]	+28% [8-K guid]	Up
FY2027 FCF Guide	$323-333M [8-K guid]	19.4% margin at midpoint [8-K guid]	Up

Historical Financial Trend

METRIC	FY24	FY25	FY26	TTM
Revenue	n/a [n/a]	$886.5M [10-K FY25]	$1.316B [8-K FY26]	$1.542B [Cons]
Gross Margin (non-GAAP)	n/a [n/a]	77.4% [8-K FY25]	81.5% [8-K FY26]	81.0% [10-Q Q2 FY27]
Subscription ARR	n/a [n/a]	n/a [n/a]	$1.46B [8-K FY26]	$1.66B [10-Q Q2 FY27]
FCF Margin	n/a [n/a]	3.7% [8-K FY25]	19.3% [8-K FY26]	8.8% [Cons]

Valuation

Absolute (5/10)

P/S ~15x [Mkt 17-Oct-26]
DCF Base $105.25 vs $112.41 (-6.4%)
Reverse DCF implies 36% CAGR

The model says fair value, not a discount, and the implied growth bar is high.

Versus Peers (7/8)

CRWD ~40x P/S [Peers 17-Oct-26]
PANW ~28x P/S [Peers 17-Oct-26]
RBRK ~14.5x on ~46% growth

Cheapest growth-adjusted multiple in the AI-cyber set, far below CrowdStrike and Palo Alto on similar or faster growth.

Versus History (6/7)

IPO Apr 2024 at $32 [10-K FY25]
52wk range $42.25-$127.90 [Mkt 17-Oct-26]

Short public history; up ~250% from IPO but trading below the $128 recent high after two sell-the-news reactions.

Catalyst Timeline

Dec 2026 [8-K guid]
Q3 FY27 Earnings (Positive): $429-431M revenue guide implies 31% normalized growth. Test of whether ARR momentum holds as migrations tailwind fades.

FY27 [8-K guid]
Identity & Agent Cloud Scale (Positive): Identity hit $20M ARR in 3 quarters; Agent Cloud has 15+

Top Risk Factors (Item 1A)

1. Material-Rights Headwind: CFO flagged that the sharp drop in material-rights revenue is a meaningful headwind to reported revenue growth for FY27. [10-Q Q2 FY27]

2. Migration Tailwind Fading: The legacy-to-cloud migration run is wrapping up this year, which will make cloud net-new ARR comparisons tougher going forward. [10-Q Q2 FY27]

3. Dilution & SBC: Heavy stock-based compensation drove a $1.15B GAAP loss in FY25

paying customers. New product legs are the upside lever.

Jan 2027 [8-K guid]
FY2028 Outlook (Two-Sided): First full guide after the migration tailwind fully rolls off. Reported revenue growth faces a material-rights headwind.

What Would Change Our Score

A Q3 FY27 miss on ARR or NRR slipping below 115% would cut Trend and Forward Growth. Conversely, Identity and Agent Cloud scaling faster than expected could make the bull case ($146.56) reachable.

and negative equity; share count keeps inflating and diluting holders. [10-K FY25]

4. Sell-the-News Pattern: Shares have sold off after multiple beats (Q1 and Q2 FY27), and the stock trades 12% below its 52-week high with elevated beta. [Mkt 17-Oct-26]

Forward Growth Drivers

- Identity Resilience: ~$20M subscription ARR three quarters post-GA, customer count doubled in Q2 [8-K guid]
- Rubrik Agent Cloud: 15+ paying customers in AI agent security, early proof-of-concept conversions [8-K guid]
- Security products now drive 40% of net retention, up from 32% a year ago [8-K guid]
- Remaining performance obligations $2.62B, up 29.5% YoY, with 53% to recognize in 12 months [10-Q Q2 FY27]

Missing / Modified Data Log

- FY24 (ended Jan 31, 2024) financials not pulled; trend table starts at FY25.
- ROIC not disclosed; operating quality judged on margins, FCF, and balance sheet.
- Rule-of-40 math uses guided FY27 figures, tagged [8-K guid].
- FY25 subscription ARR not sourced; left as n/a rather than back-computing.

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